

26PR00045 Matter of Richard B. Iverson and Barbara A. Iverson Family Trust

County: sonoma

Division: Probate

Hearing date: 2026-06-18

Motion: Verified Counter Petition for Instructions and Reformation

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Tentative Ruling: The petition before the Court is focused exclusively on the intent of one of two settlors. The petition fails to account for the intent of the first settlor to die, expressed as part of the trust that became irrevocable upon her death. The trustee has apparently taken unilateral action despite this expression of intent and despite the Court's prior ruling in case 25PR00371 that the surviving settlor's scheme related to the distribution of 1098 Orchard Street is invalid. While the petitioner now characterizes that ruling by the Court as preliminary, it was in fact unequivocal. The Court adopted its tentative ruling as the ruling of the Court, but offered the parties an opportunity to present briefing to address the ruling. Rather than take that opportunity the petitioner dismissed the case without prejudice. There was, therefore, no amendment or change to the ruling of the Court.

The trustee, having acted to distribute the real property as if the amendment was valid, now asks for instructions from the Court essentially approving this fait accompli. The Court declines to do so. The Court restates and adopts its finding from the prior case.

The surviving settlor's scheme related to the distribution of 1098 Orchard Street is invalid. After the death of the deceased settlor, the surviving settlor had the power to revoke or amend only the survivor's trust. See Trust Art. I (I). The residuary trust, which became irrevocable at the death of the deceased settlor, contains the provisions related to final distribution of the remainder of the trust, including the residue of the survivor's trust, which passes to the residuary trust at the death of the surviving settlor. See Trust Art. IV. Said provisions are simple – one equal share goes to each of the settlors' four children. *Id.* All four children are living. The real property at issue here is an asset of the survivor's trust. Therefore, the surviving settlor's unilateral amendments to the trust after the deceased settlor's death would apply to the administration of this asset. However, the surviving settlor's scheme is an attempt to diverge from the irrevocable terms related to distribution of the residue as stated at Trust Art. IV, and thus is invalid. The Court also finds that the valid and invalid provisions of the settlor's scheme are inseparably blended, such that severing the invalid provisions would destroy the main intent of the trustor and work a manifest injustice to the other beneficiaries. *Davenport v. Davenport Foundation* (1950) 36 Cal.2d 67, 74. Therefore, the entire gift fails, and the real property will pass to the residual trust, to be divided evenly between the four children.

The Court does note that it would appear the trustee alternately relied on Article V, Section L to make non pro-rata distributions to the beneficiaries, asserting that the respective assets distributed to the beneficiaries have equivalent or proportionate fair market value. No objection has been filed to the present petition contesting this claim. As the Court finds the distribution of the house to Wendy was not as a result of the invalid amendment, she theoretically could be ordered to pay rent. However, the petition asserts that even if she paid fair market value rent, the amount distributed to the other beneficiaries already more than compensates them for that amount. As there is no objection to the present petition, the Court accepts that this is true and finds that the payment of rent is rendered moot by the non pro-rata distribution to the

beneficiaries and the relative values of the assets distributed as set forth in the petition.

As to the request to modify the trust pursuant to Probate Code §15404, a modification of the residuary distribution provisions pursuant to that section would require the consent of the deceased settlor, and there is no evidence that the deceased settlor intended the trust to be administered per the proposed modification.

For the above stated reasons, the Petition is DENIED except as to the following. The Court finds that in light of the non pro-rata distribution of assets and their respective values, Wendy is not responsible to the Trust for any fair market rental value for any period during which she occupied the Orchard Street Property following Richard's death and this relief is GRANTED.

All parties shall bear their own costs, fees, and other expenses associated with this action.

Counsel for the petitioner is directed to submit an updated proposed order that conforms to this ruling.